

Statement of Work Application Modernization Services

Supplier:	Bernard, Warren and Combs	Supplier ID:	S00013
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McKesson Entity:	McKesson Corporation	Expiration Date:	December 31, 2025
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Supplier HQ	North Alexandraberg, IL		

1. OVERVIEW AND OBJECTIVES

This Statement of Work ("SOW") is issued under the Master Service Agreement between McKesson Corporation and Bernard, Warren and Combs dated January 1, 2024. This SOW governs the delivery of **Application Modernization Services** services.

2. SCOPE OF SERVICES

2.1 In-Scope Services

- Application re-platforming
- Cloud migration
- Legacy system decommission

2.2 Out-of-Scope Services

- Application hosting infrastructure
- Third-party software licenses

3. APPROVED GL CODES

All invoices submitted under this SOW must reference one of the following approved General Ledger codes. Invoices referencing any other GL code will be rejected and returned.

GL Code	Description	Cost Center
7210	Professional Services	CC-3000
7215	Consulting Fees	CC-3001
7220	Software Services	CC-3002

4. DELIVERABLES AND MILESTONES

Milestone	Description	Due Date	Amount
MS-01	Project Kickoff and Planning Complete	March 31, 2024	\$640,000
MS-02	Phase 1 Delivery	June 30, 2024	\$960,000

MS-03	Phase 2 Delivery	September 30, 2024	\$960,000
MS-04	Final Delivery and Acceptance	December 31, 2024	\$640,000

5. NOT-TO-EXCEED AMOUNT

The total fees payable under this SOW shall not exceed **\$3,200,000 USD** without a signed amendment executed by both parties. Bernard, Warren and Combs must notify McKesson's project manager in writing when cumulative billings reach 80% of the NTE amount.

6. INVOICING SCHEDULE

Invoices shall be submitted monthly in arrears no later than the 5th business day of the following month. All invoices must reference SOW number, the applicable GL code from Section 3, milestone reference, and McKesson project manager name.

7. ACCEPTANCE CRITERIA

McKesson shall have 10 business days following delivery of each milestone to review and accept or reject deliverables. Rejection must be provided in writing with specific deficiencies noted. Failure to respond within 10 business days constitutes acceptance.